



FISCAL CHALLENGE 2026

TEAM 628

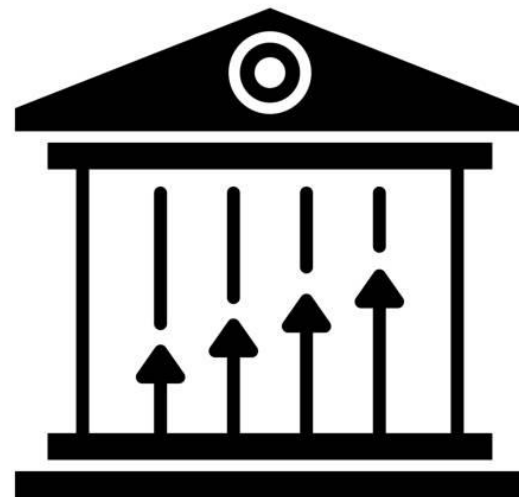




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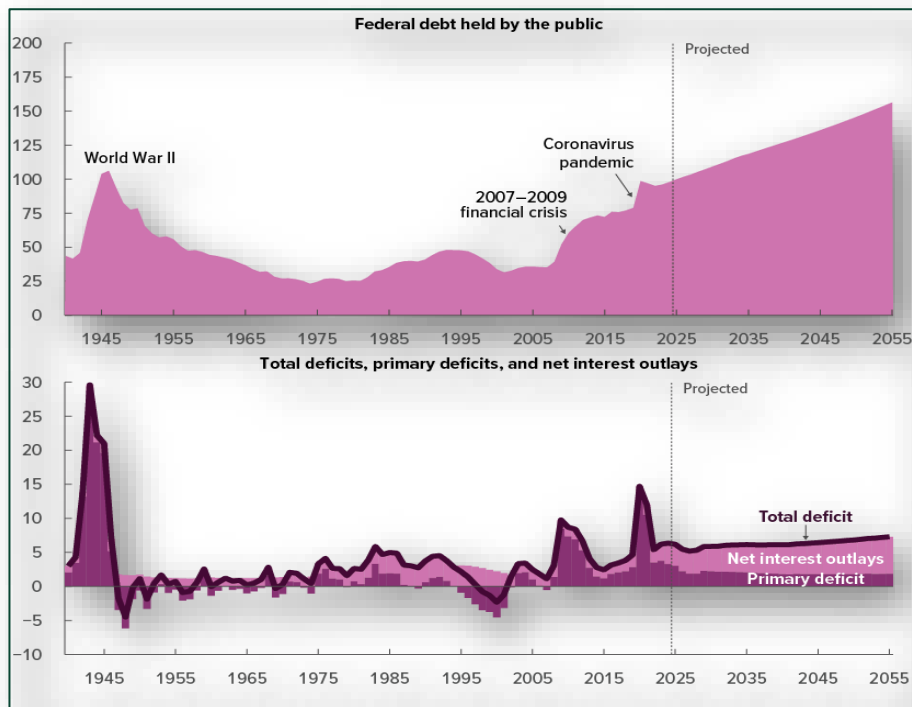
PROJECTION AND STRATEGY

01



FISCAL OVERVIEW

Interest payments on federal debt have become a larger share of the budget.



Source: Congressional Budget Office (CBO)

FISCAL PROJECTION in 2026 – 2055 period (% of GDP)

Debt held by the public

176%

Deficit

157%

Outlays

120%

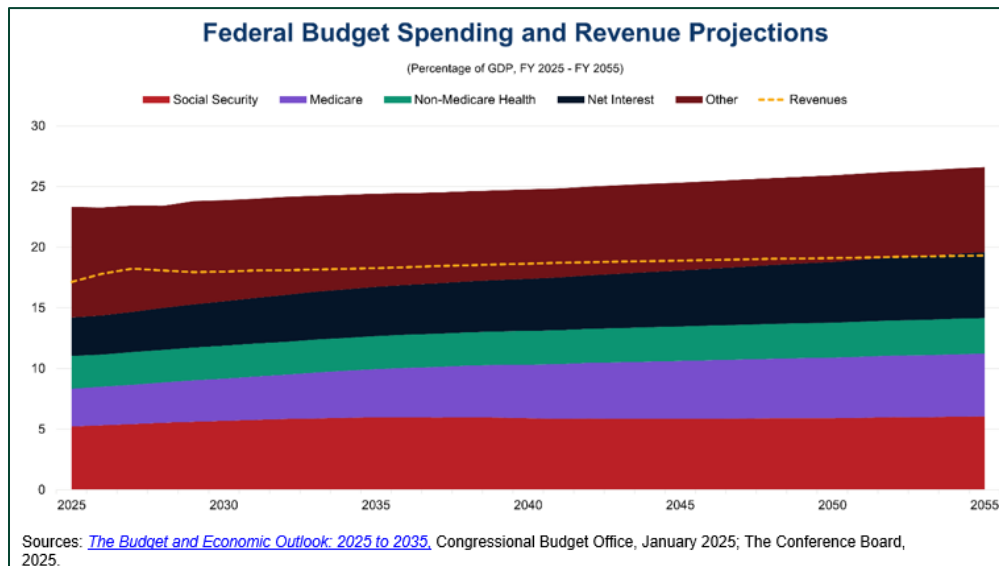
Revenues

107%

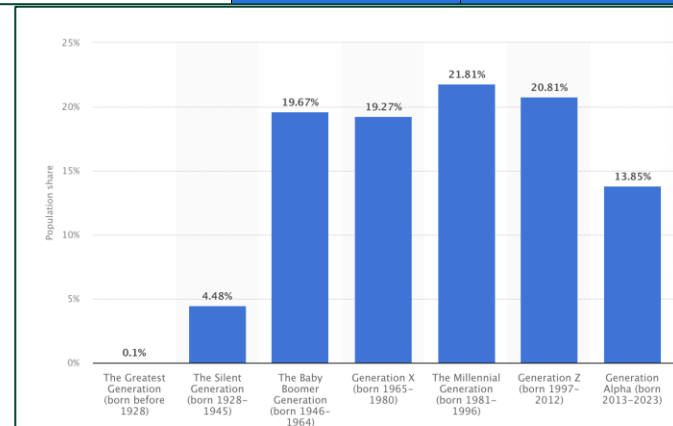
Source: *The Long-Term Budget Outlook Data: 2026 to 2056*
Congressional Budget Office (CBO)

FISCAL OVERVIEW

Health Care Spending & The Cost of Servicing the National Debt
Drive Increasing Deficits Over the Next Three Decades



	2025	2055
Revenues	17.1%	19.3%
Spending		
Social Security	5.2%	6.1%
Medicare	3.1%	5.2%
Non-Medicare Health	2.7%	2.9%
Net Interest	3.2%	5.4%
Other	9.1%	7.0%
TOTAL	23.3%	26.6%
Annual Deficit	-6.2%	-7.3%



Source: Congressional Budget Office (CBO)

EXECUTIVE SUMMARY



Current Fiscal Stance

98%
Debt/GDP

95%
Debt/GDP



Revenue-side Policies

Tax reformations

Payroll
Excise
Corporate
Income
Other

39.52%



Spending-side Policies

Savings

Discretionary
Healthcare
Social Security
Other
Immigration

41.58%

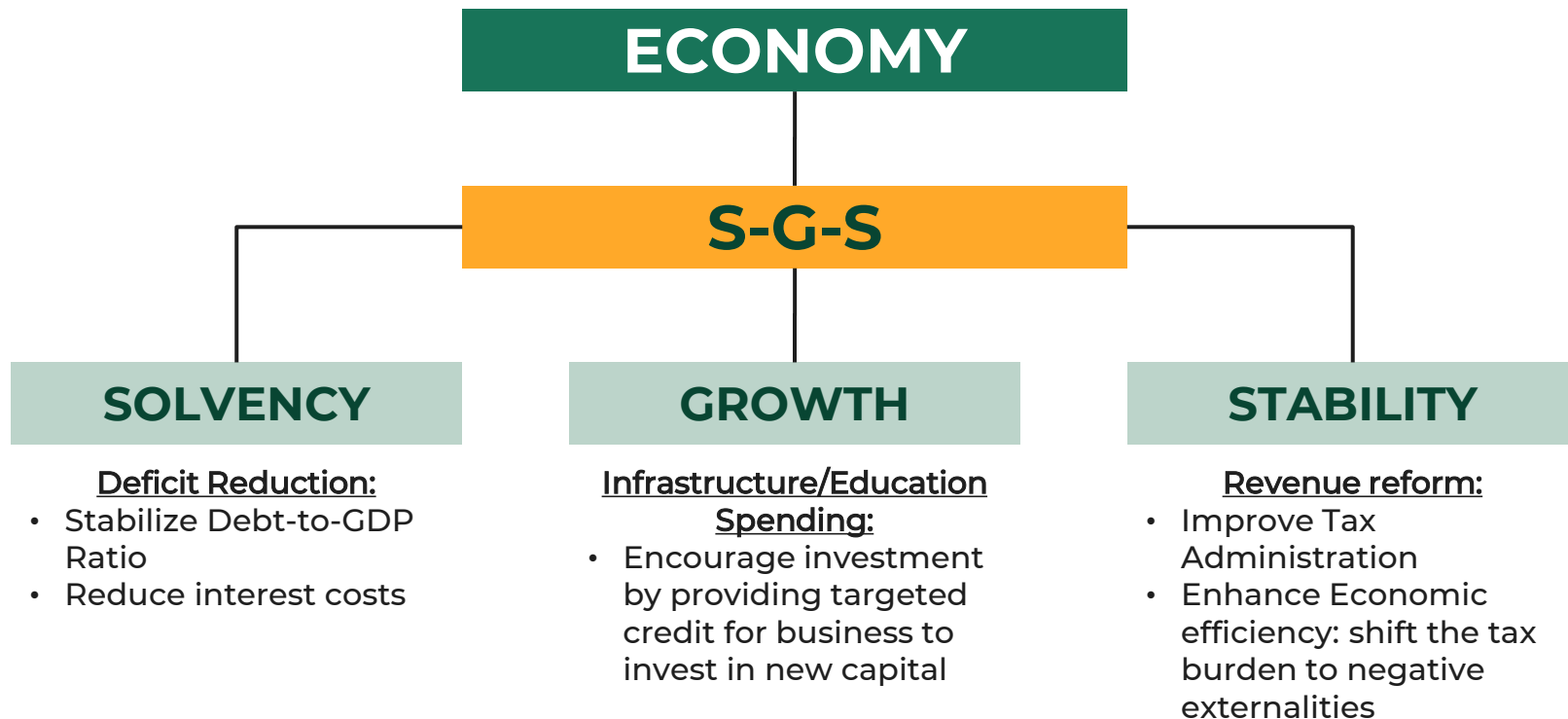


Fiscal Modeling Path

We achieved:

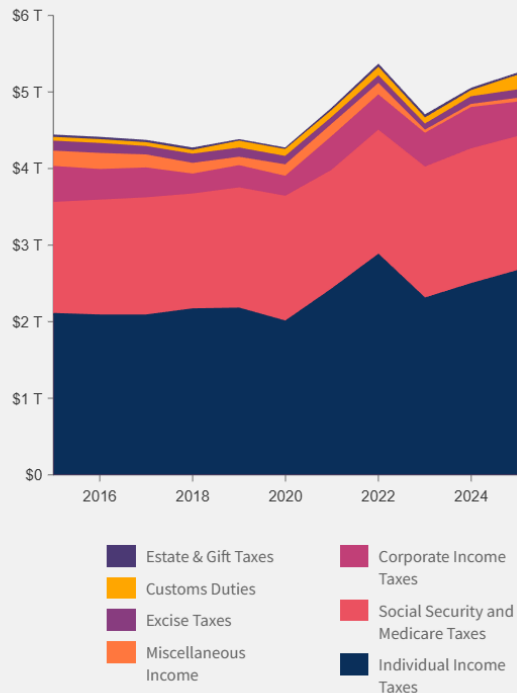
95.17%
Debt/GDP

POLICY GOALS



REVENUE REFORMING POLICY

Federal Revenue Trends Over Time, FY 2015-2025
Inflation Adjusted - 2025 Dollars



Source: U.S. Treasury Fiscal Data

PAYROLL TAX

A 2% new payroll tax on all earnings including interests, dividends and capital gains
Structure: Paid entirely by employees and self-employed individuals.

Gains

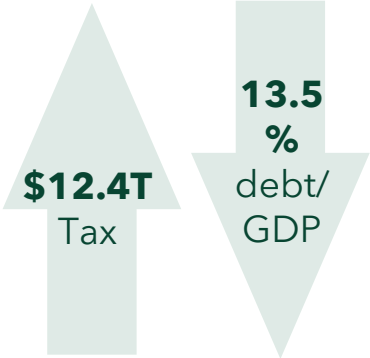
- Captures income from high-incomers (top 1%) who rely on investments, making the tax less regressive.
- R&D Increase: increase investment spending

Tradeoffs

- Administrative Complexity
- Reduced Investment Incentive

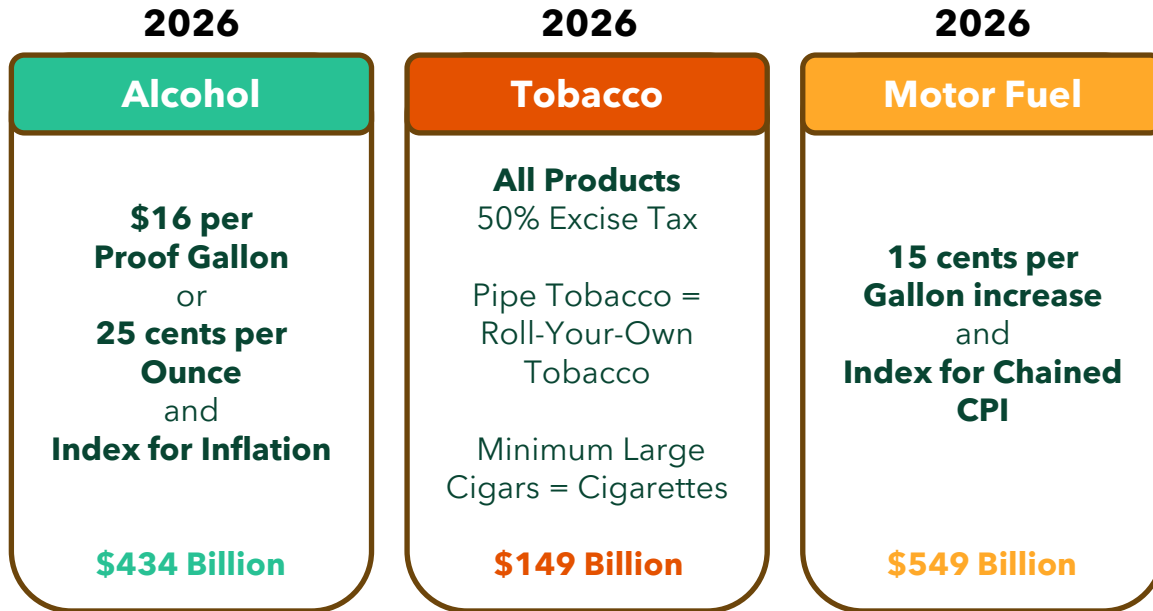
Economics Effects

- Lock-in Effect: Investors might hold onto assets longer to avoid triggering the 2% tax on realized gains, which can reduce market liquidity.



EXCISE TAX

Alcohol, Tobacco, and Motor Fuel should face larger “sin” taxes to foster faster transition towards healthier lifestyle



EXCISE TAX

Fiscal policy should be ready to acknowledge the eroding tax base and capture new consumption trends

2030

Space Tourism

Market size of **\$3.4 billion** in **2030**

45% CAGR from 2024-2030

Same as **Air Transportation Tax**
7.5% Ticket Price

Contribute to **Airport and Airway Trust Fund**

\$270 Billion

2026

Electric Vehicles

Excise tax from motor fuel is **eroding**

Tested over **14 states**, including:
Oregon, Utah, and Washington

2 cent per **miles** traveled

Drivers report mileage via **odometer checks, apps, or GPS**

\$765 Billion



1.17%
debt/
GDP

CORPORATE INCOME TAX

A three-part corporate tax reform: 1) quadruple the buyback excise tax, 2) strengthen the CAMT, 3) halve the GILTI deduction.

Structure: Applied to C-corporations, multinationals, and publicly traded firms.

Gains

- **5-Year:** \$980 Billion
- **10-Year Total:** \$1.96 Trillion

Tradeoffs

- Quadrupling the buyback excise shifts capital returns toward dividends, potentially affecting equity valuations.
- GILTI tightening raises effective tax on multinationals' global income.

Economics Effects

- CBO models suggest higher corporate rates primarily reduce business investment short-term, though the effect is offset in an expansionary environment where government spending (infrastructure, R&D) crowds in private activity.



\$5.4T
tax
revenue



5.9%
debt/
GDP

INDIVIDUAL INCOME TAX

Limit the tax benefit of itemized deductions to 15% of their total value

Structure: Taxpayers, charitable orgs, and housing

Gains

- Capture Income from Higher Tax Bracket individuals (>22%)
- Simplifies the taxation system

Tradeoffs

- Reduce incentive for charitable donations
- Increase price of house mortgages due to less tax benefits

Economics Effects

- Decrease in consumption due to less disposable income from more taxation (high mortgage borrows, large charity lump sums).

Source: CBO

\$11.3T

tax
revenue

12.3%

debt/
GDP

INDIVIDUAL INCOME TAX

Expand the Base of the Net Investment Income Tax (NIIT) to Include the Income of Active participants of S-Corp and Limited Partnerships

Structure: Paid by active participants of s-corporations and limited partnerships

Gains

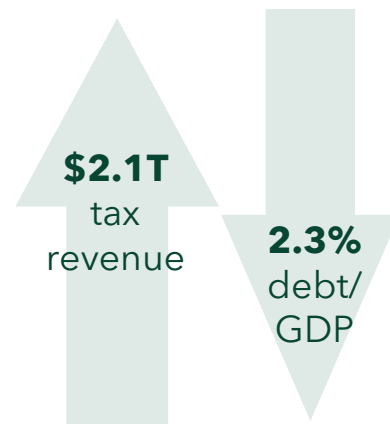
- Capture Income from high earning individuals
- Improves tax equity (taxing avoidant individuals, disincentivize similar initiatives)

Tradeoffs

- Increasing cost of operations for startups and businesses
- Reduce incentives for entrepreneurship

Economics Effects

- Reduce investment expenditure that hinders GDP growth
- Growing establishment of alternative entities: LLC and C-corporations



OTHER TAX

Impose a Tax on Financial Transactions

Structure: For purchases of stocks, bonds, derivatives, and other debt obligations, the tax would be 0.01% of the value of the security on the secondary financial market.

Gains

- More than 60% U.S households invest in capital market

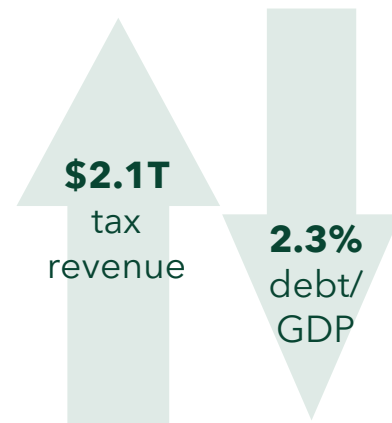
Tradeoffs

- Decrease market liquidity
- Increase risk of traders manipulating financial market

Economics

Effects

- Divert cash flow to physical investment --> **Increase GDP**
- Does not directly impact GDP because it is just secondary financial market, and still gains more tax revenue
- More fair for blue-collar employees who work and pay higher tax rate



"One in three Americans rely on investment as their primary income source (30%)" - Forex.com

DISCRE
TIONARY

HEALTH
CARE

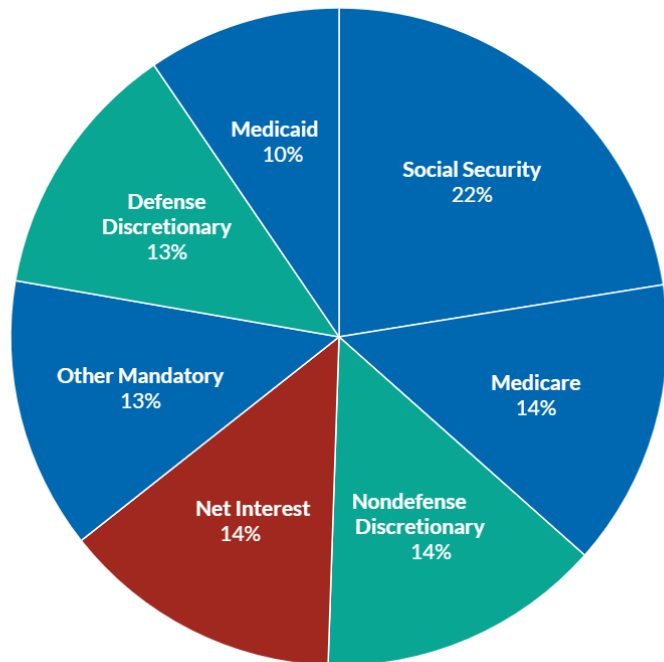
SOCIAL
SECURITY

OTHER
MANDA
TORY

03

FY 2025 Outlays: \$7 Trillion

■ Mandatory (59%) ■ Discretionary (27%) ■ Net Interest (14%)



SPENDING REFORMING POLICIES

Source: U.S. Treasury Fiscal Data

DISCRE
TIONARY

HEALTH
CARE

SOCIAL
SECURITY

OTHER
MANDA
TORY

DISCRETIONARY SPENDING (Defense)

Cutting unnecessary spendings bring significant savings while still ensuring expansion scale

2026

"Pit" Production Plant

Plutonium pits used to trigger a **nuclear bomb**

U.S. has **excessive** storage of the pits

Shut down Savannah River Project will save **1.2 billions** annually

\$36 Billion

2026

Long-range missile defense

Government spends **\$28 billion** per year and wasted **\$400 billion** since the **1950s**

No system is effective against ICBM threats

Cut \$9.3 billion annually in LRMD

\$279 Billion

2026

Audit military contracts

17% of Defense budget for **Procurement**

Private contractors tend to **overcharge** on **spare parts** (25% more profit)

Increase oversight, require transparency, and warn of discontinuing government contracts

\$1229 Billion

1.76%
debt/
GDP

Source:

Quincy Institute for Responsible Statecraft, Chuck Grassley

DISCRE
TIONARY

HEALTH
CARE

SOCIAL
SECURITY

OTHER
MANDA
TORY

DISCRETIONARY SPENDING (Defense)

Reduce reliance on military personnel in order to enhance efficiency and lower future benefits burden

2026

Replace Military Personnel with Civilian Employees

300,000 military members not doing military-nature jobs, such as medical support roles, logistics, or administration

Civilians need less trainings and less likely to rotate among positions

Replacing 80,000 military personnel with 64000 civilian employees over 4 years

\$76 Billion



DISCRE
TIONARY

HEALTH
CARE

SOCIAL
SECURITY

OTHER
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DISCRETIONARY SPENDING (Non-Defense)

Reduce states' free ridings, preserve funds from depleting early, and divert some spendings to mandatory programs

2026

Reduce Spending in Infrastructure and Education

Decrease one third funding for two of the largest areas of non-defense spending: grants to state and local governments for transportation programs and for education programs

Highway and Transit grants would be most affected in transportation programs

Education of children from low-income households and children with disabilities would be substantially affected by the cuts

\$1619 Billion



DISCRE
TIONARY

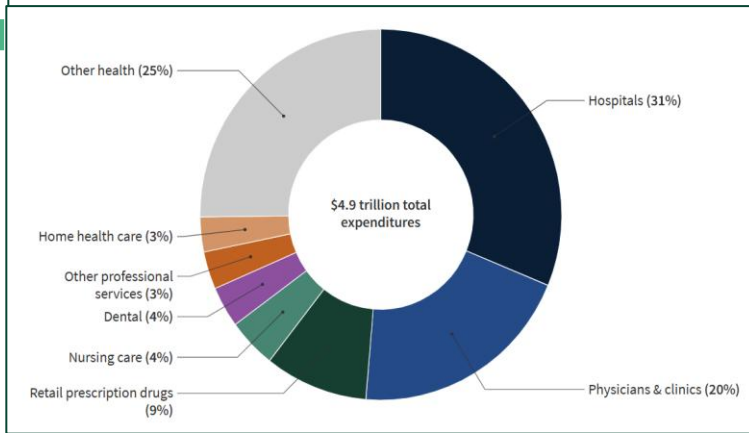
HEALTH
CARE

SOCIAL
SECURITY

OTHER
MANDA
TORY

HEALTHCARE SPENDING

	Share of growth, 2022-2024	Growth
Hospital care	40%	\$277B
Physician and clinical services	22%	\$153B
Retail prescription drugs	11%	\$76B
Other professional services	5%	\$38B
Home health care	5%	\$31B
Nursing care and CCRCs	5%	\$31B
Dental services	3%	\$22B
Government administration	2%	\$13B
Non-medical insurance expenditures	2%	\$12B
Government public health activities	-7%	\$-51B
All other	13%	\$90B



Why is it important?

DISCRE
TIONARY

HEALTH
CARE

SOCIAL
SECURITY

OTHER
MANDA
TORY

HEALTHCARE SPENDING

Medicare expenditure cap on IP + OP acute care per FFS enrollee

Structure: Fee-for-service enrollee (2027)

Gains

- Incentivize hospitals to increase operational efficiency with IP and OP capped
- Promotes value-based-care, aligning U.S.'s vision

Tradeoffs

- Potential under treatment of patients to fit under the budget
- Financial pressure on hospitals, less flexibility for errors and erroneous tasks
- Cause mass hospital reformation to better allocate resources

Economics Effects

- Cost shifting to private insurers

\$15.2T
saved

16.5%
debt/
GDP

DISCRE
TIONARY

HEALTH
CARE

SOCIAL
SECURITY

OTHER
MANDA
TORY

HEALTHCARE SPENDING

Medicaid expenditure cap on all eligible categories

Structure: Applied to Medicaid beneficiaries (2026)

Gains

- Incentivize hospitals to improve operational efficiency for all eligible capped
- Promotes value-based-care, aligning U.S.'s vision

Tradeoffs

- State budget instability, causing a cut in cost for other
- Reduce coverage from less revenue, poor low-income individuals uninsured

Economics Effects

- Greater long-term federal budget predictability
- Early budgeting reliance on state to offset the cap and typical spendings

\$0.94T
saved

1.02%
debt/
GDP

DISCRE
TIONARY

HEALTH
CARE

SOCIAL
SECURITY

OTHER
MANDA
TORY

HEALTHCARE SPENDING

Estimation of Drug Negotiation As Part of Inflation Reduction Act (2022)
Structure: Medicare (Plan A,B,D), Medicaid, and Relevant Healthcare Programs (2026)

Gains

- Massive reduction in retail prices for top-grossing drugs
- Increase accessibility to drugs, long-term lower healthcare premiums

Tradeoffs

- Reduce initiative for pharmaceutical innovation due to a lower expected profits
- Limit drug availability from potential provider withdrawal

Economics Effects

- Increases consumer purchasing power
- Risk private insurers gaining extra margins by keeping premium prices

\$1.7T
saved

1.9%
debt/
GDP

DISCRE
TIONARY

HEALTH
CARE

SOCIAL
SECURITY

OTHER
MANDA
TORY

SOCIAL SECURITY SPENDING

Apply 12.4% Payroll Tax on Earnings Above \$250,000

Structure: No Benefit Credit (2026)

Gains

- Closes 70% of the 75-year Social Security solvency gap
- No offsetting future benefit increase: high earners pay more without receiving higher Social Security checks

Tradeoffs

- Breaks the contributory link between taxes paid and benefits received, departing from the social insurance model
- Converts the payroll tax into a fiscal tool at the top end

Economics Effects

- Covers 60%+ of the projected 10-year Social Security shortfall, directly reducing Treasury borrowing needs
- No future benefit obligation offsets the revenue gain. It permanently removes SS as a growing debt driver



\$8.5T
saved



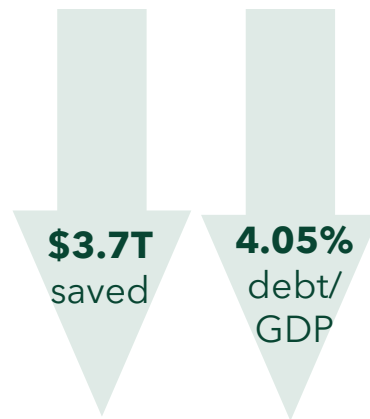
9.3%
debt/
GDP

OTHER MANDATORY SPENDING

Proposed Emergency Spending Reform

Structure: Assure when approving the emergency funding

- Offset Emergency Spending (**CUTGO**)
- Enforce Existing Emergency Criteria - **OMB test**
- Raise Emergency Voting Thresholds - **three-fifths majority** to authorize new emergency spending
- **End** Executive Emergency Declarations **after 30 Days** - ARTICLE ONE Act
- Enhanced Transparency: Expand reporting requirements to track and disclose all National Emergency Act (NEA) expenditures by amending the Federal Funding Accountability and Transparency Act.
- Revise the Budget Baseline to **Exclude Emergencies**



OTHER MANDATORY SPENDING

Proposed Emergency Spending Reform

Structure: Assure when approving the emergency funding

Gains

- Fiscal Discipline
- Budget Accuracy

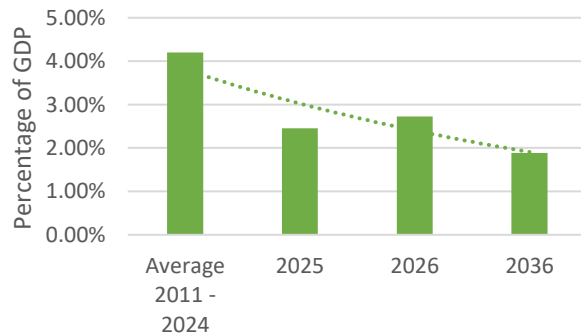
Tradeoffs

- **Speed:** Raising voting thresholds to a three-fifths majority makes it harder to pass aid quickly. In a fast-moving crisis (e.g., a sudden financial collapse), this delay could be costly.

Economics Effects

- Cost Escalation due to Delay

Other Mandatory Outlays Trend



Expected a significant **downward** trajectory to 2.3% average in 2047 - 2056.

Immigration Opportunities & Tax

Companies in immigrant-dependent industries, such as construction and hospitality, need millions of immigrants

	Expand H-2B	Pass EWEA H-2C
Nature of Work	Temporary or seasonal only (e.g., peak-load, intermittent)	Year-round , nonagricultural labor
Duration of Stay	Up to 1 year , extendable to a maximum of 3 years	Initial 3 years , renewable twice for up to 9 years total
Annual Visa Cap	Statutory cap of 66,000 (split by half-year) but recently adding up to 130000-150000	Variable cap: 65,000 initially, adjusting between 45k-85k based on demand
Location Restrictions	No specific local unemployment rate requirement	Limited to areas with an unemployment rate of 7.9% or lower

Providing 200,000 new legal admission channel for labors that can relief companies and mitigate projects' slowdown

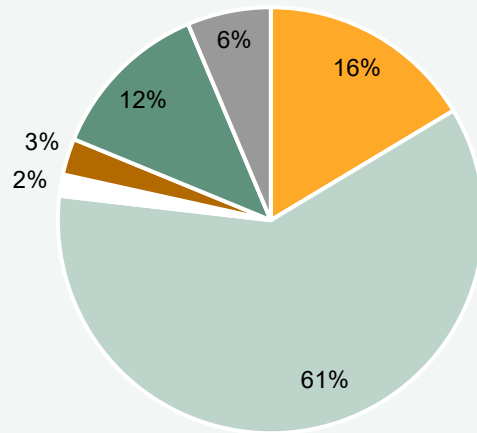


OBBBA Impact

- **Increase \$4 trillion deficits**
 - Mainly come from Tariffs - a consistent revenue stream for the U.S. government.
- **Industry Protection:** Focus remains on shielding Technology and Defense via Section 232 (National Security).
- **Section 122 (Balance of Payments):**
 - Implements temporary 10% to 15% tariffs.
 - Addressed as a non-recurring measure to mitigate trade imbalances.
- **Policy Exclusions (IEEPA & Baseline):**
 - 10% baseline and fentanyl-related tariffs (IEEPA) were **rejected by SoC**.
 - Excluded from modeling to maintain fiscal certainty and avoid "ambiguous" forecasts.

Tariff Distribution (2026-2035)

- Section 232 Steel and Aluminum
- Section 232 Autos and Auto Parts
- Section 232 Copper
- Section 232 Furniture, Kitchen Cabinets and Vanities, Lumber
- Section 232 Heavy Trucks and Parts
- Section 122 Tariff (15%)



GDP Contribution:

- Customs duties expected to revert to pre-2025 levels.
- Long-term impact projected at **0.2% to 0.3%** of GDP.

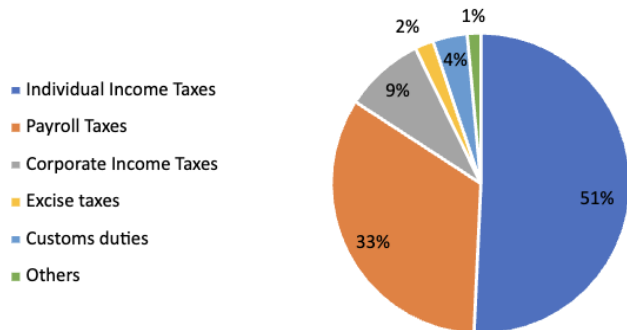
04

FISCAL MODELLING

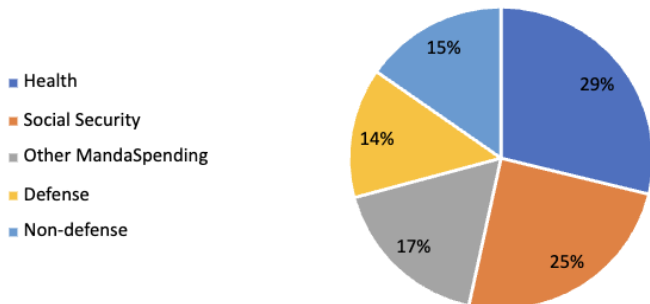


FINANCIAL MODEL

CBO Tax Projection Distribution (2025)

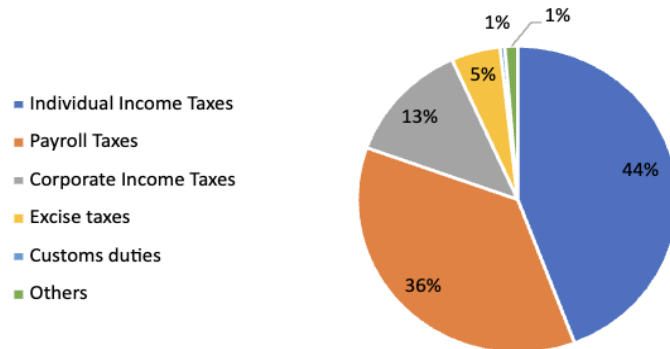


CBO Spending Projection Distribution (2025)

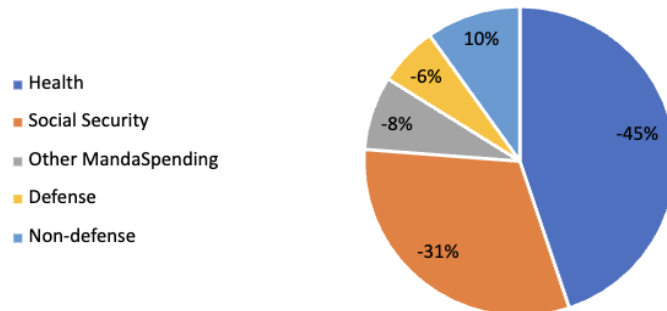


AFTER
SOLUTIONS

Tax Projection Distribution After Changes (2055)

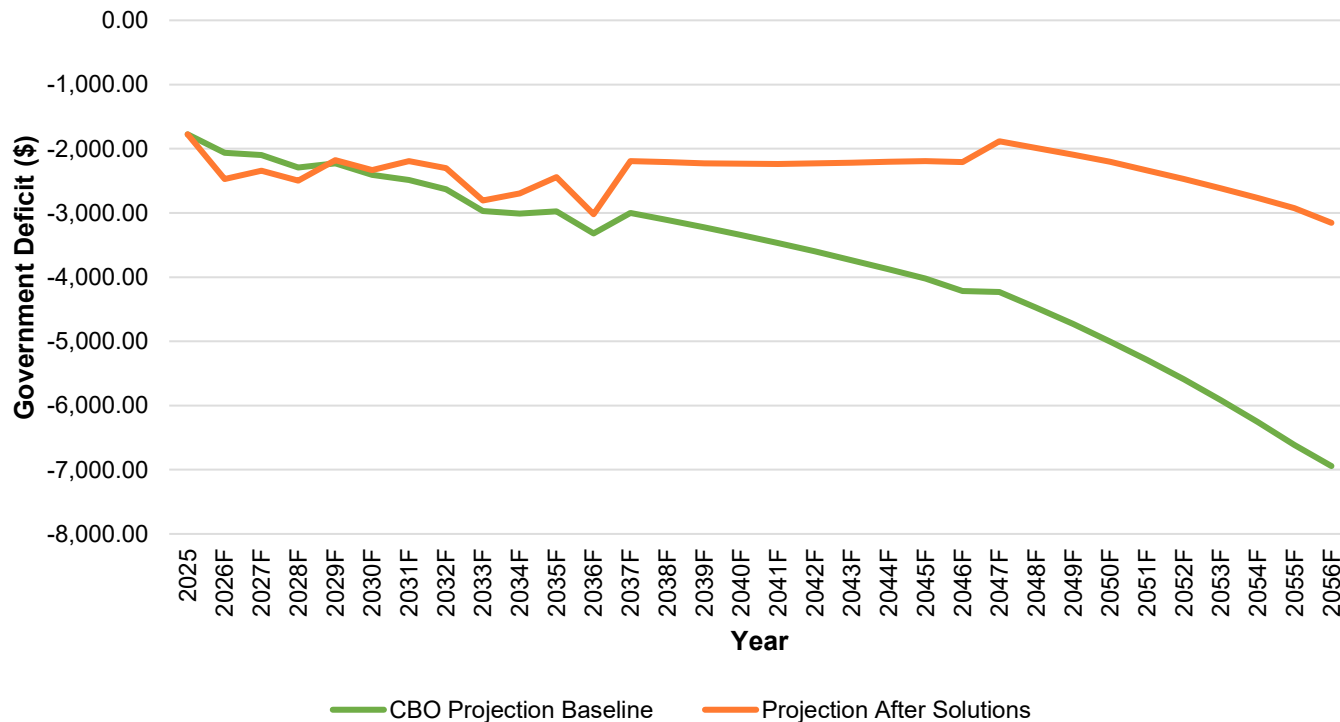


Spending Projection Distribution After Changes (2055)



FINANCIAL MODEL

Government Deficit



Debt/GDP

176%

SOLUTION

Debt/GDP

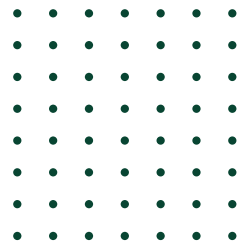
95%



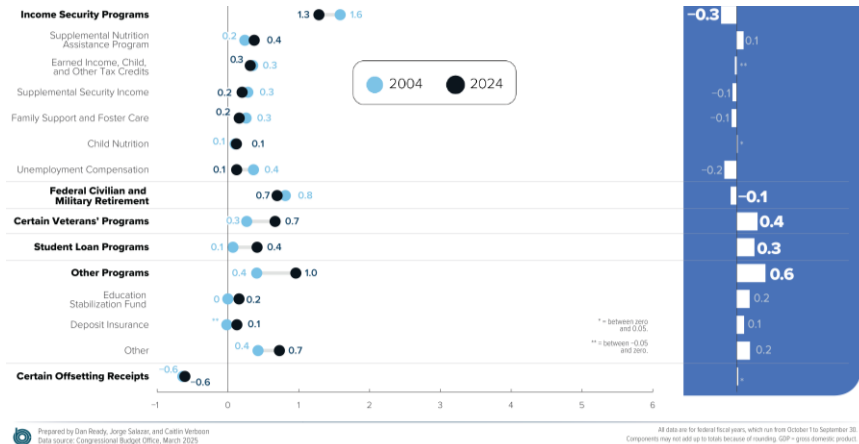
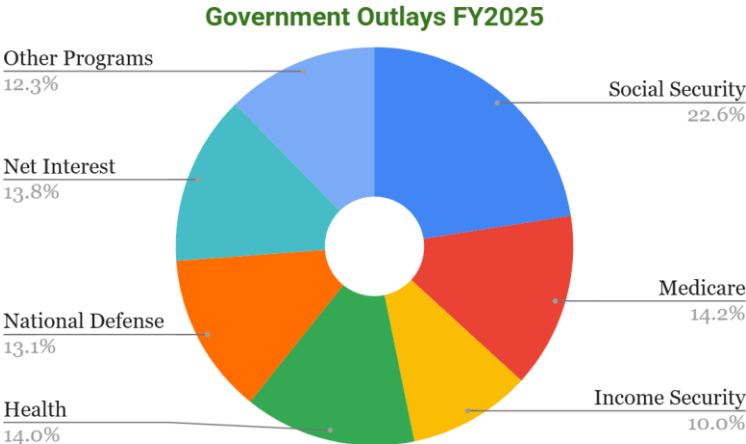
THANKS!

ANY QUESTIONS?

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OTHER MANDATORY SPENDING



Growth Gap

GDP growth is projected to outpace inflation-adjusted benefit increases.

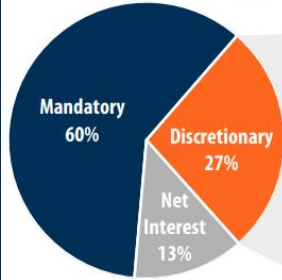
Income Growth

Rising nominal incomes reduce eligibility for refundable credits and outlays.

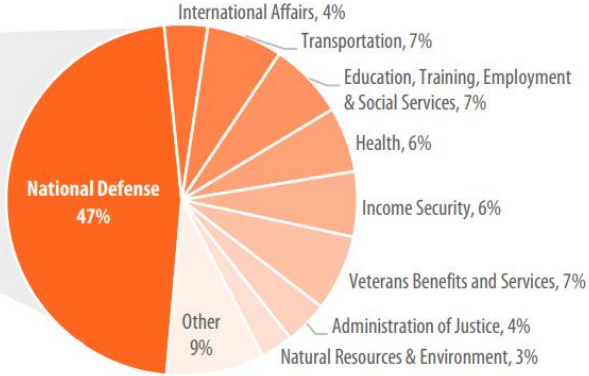


Expected a significant downward trajectory to 2.3% average in 2047 – 2056.

Federal Fiscal Outlays



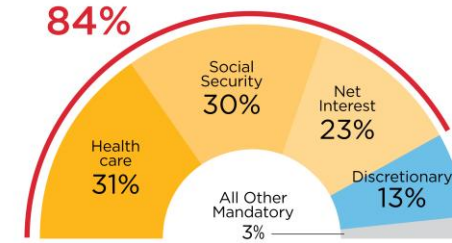
Federal Discretionary Outlays



Source: Office of Management and Budget, First Trust Advisors. Data as of fiscal year 2024.

DRIVERS OF GROWING SPENDING

SHARE OF PROJECTED SPENDING INCREASE, 2024-2034



Note: Figures have been rounded.

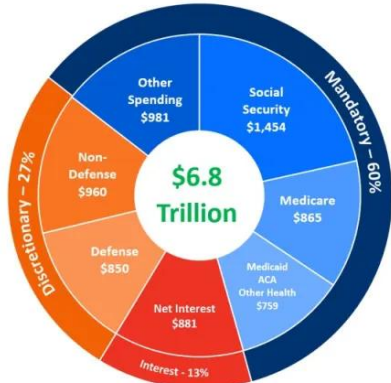
Source: Congressional Budget Office.

heritage.org

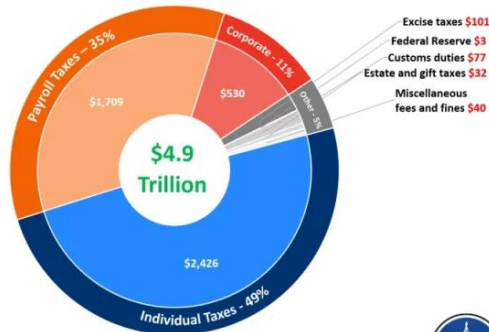
Spending and Revenue in the Federal Budget – FY2024

Billions

Spending



Revenue



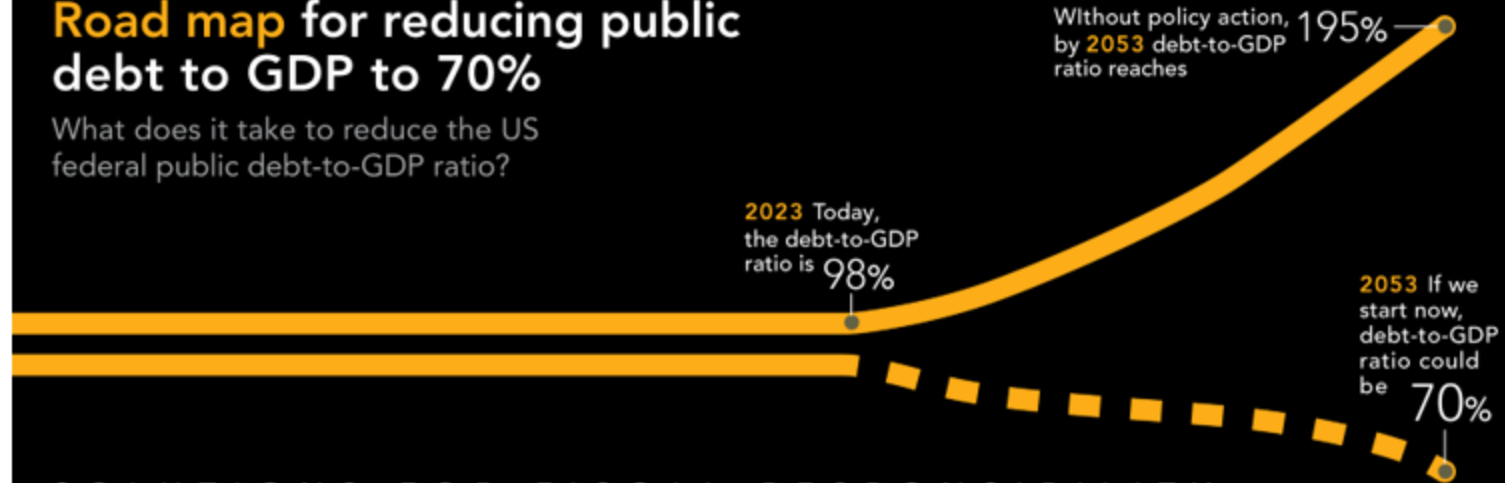
CRFB.org



Source: Congressional Budget Office

Road map for reducing public debt to GDP to 70%

What does it take to reduce the US federal public debt-to-GDP ratio?



SOLUTIONS FOR FISCAL RESPONSIBILITY

Avert a debt ceiling crisis	Make fiscal restraint a priority	Save Social Security	Streamline regulation	Segment pandemic debt
Establish a bipartisan commission on fiscal reform	Reform Medicare and health care policy	Increase revenues through tax reform	Develop an energy transition policy	

Source: The Conference Board, 2023



Source: [The Conference Board](#), 2023.